Intelleges® We make it easier...

October 9, 2008

Intelleges helps companies automate their global compliance requirements in a variety of areas, including the Foreign Corrupt Practices Act.

Intelleges has a Foreign Corrupt Practices Act (FCPA) module that meets the FCPA reporting and record keeping requirements. It can be easily affixed to its base Harmonized Supply Chain Security System (HS3) platform. This is a simple and easy to use web-based system.

The FCPA module consists of 4 elements:

1. An Automated Web-based Annual Questionnaire
    a. All Regional Vice Presidents, Managing Directors, Finance Directors of international subsidiaries must fill out, sign and return the questionnaire annually
    b. The questionnaire should be completed and delivered to Corporate Legal by June 15 of each fiscal year.
2. Integration with World Bank Data to select at-risk countries
3. A transactional questionnaire which is required each time a transaction occurs with an agent at an at-risk country
4. An FCPA glossary and policy document available electronically to the team

Please let us know when it would be best to discuss this further with you by sending me an email at vishal.patel@intelleges.com .

Thanks in advance.

Vishal Patel

Global Compliance Program Manager

INTERNAL QUESTIONNAIRE

This policy ensures that Your Company complies with the Foreign Corrupt Practices Act 1977 (FCPA). Penalties for violation of this law are severe: Your Company can be fined up to $2,000,000, and officers or directors can be fined $100,000 or imprisoned for up to 5 years.

This policy applies to Your Company and its subsidiaries, affiliates, directors, officers, shareholders, employees, representatives and agents worldwide. The FCPA does not contain any "materiality" standard; all violations, regardless of the sum of money involved, are considered equally serious.

POLICY

Your Company should use only ethical business practices while conducting business activities. Your Company should not seek to influence sales or other business by illegal payments, bribes, kickbacks, or other questionable inducements.

As specifically mandated by law, Your Company and its subsidiaries, affiliates, directors, officers, shareholders, employees, representatives and agents may not make, or offer to make, payments of money or anything of value, directly or indirectly, to foreign government officials, foreign political parties, or candidates for foreign political office for the purpose of obtaining or retaining business.

Your Company must also (1) make and keep books, records, and accounts, which, in reasonable detail, accurately and fairly reflect the transactions and dispositions of assets of the company, and (2) devise and maintain a system of internal accounting controls.

Notification to Legal Department

Any suspected violation of the FCPA should be immediately brought to the attention of the Legal Counsel for the Subsidiary or Geographic unit or region or the General Counsel, in the form of a confidential communication, for the purpose of obtaining legal advice, No further action should be taken until a response is received.

Exceptions

There are no exceptions to this policy. Violation of this policy may be grounds for immediate termination.

GUIDELINES

The FCPA provides the following provisions which are particularly applicable to Your Company:

Record Keeping and Accounting

This section applies to Your Company and its international subsidiaries. The record keeping and accounting requirements apply to all transactions of the Subsidiary or Geographic unit, not just those meeting the definition of Illegal Payments. Your Company is legally responsible for the accounting practices of all its international subsidiaries unless Your Company owns less than 50 percent of the international entity, and Your Company reasonably and in good faith uses its influence to cause the less than 50 percent owned international entity to make and keep (1) accurate books and records, and (2) a system of internal accounting controls.

The FCPA generally prohibits the falsification of books and records and sets forth certain accounting requirements. Specifically this Policy requires Your Company to:

1. Make and keep books, records and accounts, which, in reasonable detail, accurately and fairly reflect the transactions and dispositions of assets of the company; and
2. Devise and maintain a system of internal accounting controls sufficient to provide reasonable assurances that:
    a. all transactions are executed in accordance with management's general or specific authorization;
    b. transactions are recorded as necessary to permit preparation of financial statements in conformity with generally accepted accounting principles, and to maintain accountability for assets;
    c. access to assets is permitted only in accordance with management's general or specific authorization;
    d. the recorded accountability for assets is compared with the existing assets at reasonable intervals, and appropriate action is taken with respect to any differences.

Have you read the above and understood it? Y/N/NA

The General Counsel must approve any routine governmental action payment in advance. Payments will only be permissible if the action is legal but has been refused or delayed unjustifiably; all reasonable efforts have been made to obtain action without payment; the payment is not made for the purpose of obtaining or retaining business; the payment is insubstantial; the transaction is accurately described in the books and records of Your Company Record Keeping

Illegal Payments -

The FCPA prohibits any US individual or business from authorizing, offering or paying anything of value, directly or indirectly, to any foreign official, political party or candidate for the purpose of influencing or causing another person to influence any act or decision of the foreign official or entity in order to assist the individual or business in obtaining or retaining business with any person.

Your Company employees, representatives and agents are prohibited from engaging in the following:

Bribes
Giving or offering to give any money, gift, or thing of value to any foreign official to obtain or retain business;

Political Contributions
Making contributions to political parties or official to obtain their support for executive, legislative, administrative or other action that may be favorable to Your Company

Third-Party Payments
Giving or offering to give any money, gift, or thing of value to a third party when there is knowledge that it will be offered to a foreign official to obtain or retain business.
Knowledge
Your Company is considered to have knowledge of an FCPA violation if:

It is **aware** that:

- an improper payment is being made;
- the circumstances for an improper payment exist; or
- the improper payment is substantially certain to be made; or

It has a **firm belief** that:

- the circumstances for an improper payment exist; or
- the improper payment is substantially certain to occur.

Legal Payments

As a general rule, payments to foreign officials that would otherwise be prohibited by the FCPA are legal only if:

- they are lawful under the written laws of the foreign official's country, or
- they are made as a reasonable and bona fide expenditure directly related to either promotional

- activities or the execution or performance of a contract with a foreign government

(for example): Your Company may pay the travel and lodging expenses of an official coming to the U.S. for a demonstration or to sign a contract).

Routine Governmental Action Payments

Certain countries may require payments to foreign officials to expedite or secure performance of routine governmental actions. The FCPA provides an exception for these facilitating payments, but the exception is limited to the following governmental actions:

- providing licenses, permits and other official documents to qualify to do business in a foreign country;
- processing governmental papers, such as visas and work orders;
- providing police protection, mail services, and inspections of goods;
- providing phone service, power and water supplies, loading and unloading cargo, and protecting perishable goods form deterioration; or
- actions of a similar nature

Your Companys's books are to be maintained so that:

- all transactions are recorded. Your Company and its subsidiaries are prohibited from maintaining undisclosed or unrecorded funds or assets established for any purpose. Examples of an undisclosed or unrecorded fund or asset include, but are not limited to:
- numbered foreign bank accounts.
- bank accounts containing corporate funds but held in the names of individuals.
- unrecorded petty cash or 'black box" funds.
- real and personal property held by a nominee.
- records do not disguise any aspect of a transaction; for example, entering a payment to "X" when the payment was actually made to "Y."
- no qualitative misrepresentations are made; for example, entering a payment of $100,000 to agent "X" when in reality there was an understanding that agent "X" would pay $20,000 to foreign official "Y."

Caution in Dealing With Sales Agents/Distributors/Partners

To ensure compliance with the illegal payments provisions of the FCPA, Your Company must exercise caution in dealing with sales agents, distributors or partners ("agents"). The primary danger of a violation of the FCPA remains in the activities of a foreign sales agent steeped in

another culture, particularly in a country where illicit payments may be prevalent. Your Company should be on the lookout for "red flags" that might indicate a potential violation of the FCPA.

Sound Business Practices
There is no substitute for sound and ethical business practices. Your Company and its employees, representatives and agents must constantly strive to balance their actions and behavior in a manner that fosters the use of good business practices that allow Your Company Technologies to remain competitive in the marketplace while at the same time ensuring compliance with this policy.

Annual Questionnaire

Please answer questions I to 8 by clicking in the space adjacent to the correct answer. If any of your answers to questions 2 to 8 is "yes," please answer question 9 on as many additional sheets of paper as are necessary.

The responses to this questionnaire relate to the period from June 1, 200___ to May 31, 200___

1. Have you read and do you understand the FCPA policy? Yes ___ No ___

2. To the best of your knowledge, information and belief, has your Subsidiary or Geographic unit made any payments, directly or indirectly, to or for the benefit of any foreign official or employee, for the purpose of obtaining or retaining business?
Yes___ No___

3. To the best of your knowledge, information and belief, has your Subsidiary or Geographic unit made any payments, directly or indirectly, to or for the benefit of any candidate for political office or any political party for the purpose of obtaining or retaining business?
Yes___ No___

4. To the best of your knowledge, information and belief, has your Subsidiary or Geographic unit made any payments, directly or indirectly, to a third-party with knowledge, as defined in the Guidelines to Your Company's Foreign Corrupt Practices Act Policy, that it would be offered to a foreign official or employee for the purpose of obtaining or retaining business?
Yes___ No___

5. To the best of your knowledge, information and belief, has your Subsidiary or Geographic unit made any payments, directly or indirectly', to or for the benefit of any employees of government-controlled businesses, corporations, companies or societies, including hospitals or health facilities, for the purpose of obtaining or retaining business?
Yes___ No___

6. To the best of your knowledge, information and belief, has your Subsidiary or Geographic unit recorded any entries in its books, records or accounts that might be interpreted as misstating or concealing the nature or purpose of any payment or expenditure?
Yes___ No___

7. To the best of your knowledge, information and belief, has your Subsidiary or Geographic unit maintained any cash funds, bank deposits or other assets without recording them on your financial and accounting books and records?
Yes___ No___

8. While employed at Your Company, have you ever participated in, assisted others in, or had knowledge of any conduct by Your Company (including employees, representatives and agents) that, in your judgment, either does not comply with the policy or has the appearance of not complying with the policy?
Yes___ No___

9. If any of the answers to questions 2 to 8 is "Yes," please state the facts that form the basis for your answer on separate sheets of paper and attach them to this questionnaire.

eSignature
Date
Name (please print) Location
Department or Subsidiary or Geographic unit Position

At-Risk Country Transactional Questions

Special Transaction Questionnaire

Examples of some questions to ask in an effort to identify "red flags" are:

To minimize Your Company's exposure to FCPA violations when dealing with agents, the following practices should be followed:

• What is the country in question? Your Company cannot ignore history, and special caution should be exercised in a country with a tradition of FCPA violations.

• Did you perform a thorough business check on the agent, and make sure the agent has adequate experience in the area and possesses an appropriate degree of integrity. Yes/No/NA

• Does the agent have a good reputation?

• Were all payments to and from agents made through a check or bank transfer. Yes/No/NA

• Has the agent employed a subagent without the prior written approval of Your Company? Yes/No/NA

• Do all agreements between Your Company and the agent contain a clause stating that the agent understands and complies with the terms and conditions of the FCPA?

• Does the agreement between Your Company and the agent contain a clause stating that the agreement can be terminated at any time by either party, without further liability or obligation under either U.S. or local laws?

• Is the commission above the "going rate?"

• Has there been a request that Your Company provide an invoice substantially in excess of the actual sales price for the goods supplied?

• Has the agent refused to provide representations on his conduct (such as whether he is aware of the FCPA and has taken no action that would violate the FCPA)?

•Is the relationship of the agent related to the country's royal family or top government officials?

• Have there been any corporate political contributions reported in the country in question?

Have there been any payoffs to foreign government officials?

• Has a payment been made to a third party or through a third-country?

•Have any transactions been recorded as 'cash?"

• Have managers of foreign operations been paid unusual bonuses?

GLOSSARY

Bribe

Any illegal payment, as specified in the Guidelines above.

Foreign Official
A foreign official is an officer, employee, or person acting on behalf of a foreign government. A foreign official may also include foreign political parties and their officials, or any candidate for foreign political office or a representative of such a candidate.

General Counsel
The General Counsel of Your Company

Government
Includes any agency, instrumentality, subdivision or other body of any national, state or local government, including hospitals or other health facilities which are owned or operated by a government, and including regulatory agencies or government-controlled businesses, corporations, companies or societies.

Payments
Money, transfer of stock, bonds or any other property, the payment of expenses, the providing of services of any type, the assumption or forgiveness of any indebtedness, or any other transfer of goods, services, tangibles or intangibles that accrues to the benefit of the ultimate recipient or promotes his or her interest.

Red Flags
Any situation that shows a potential for FCPA violations.

Third-Party
Any person not a party to the transaction, usually a sales intermediary between Your Company and the final customer or end-user of Intelleges products.